

ECON 1002: Econ Principles of Macro

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Office Hours: By appointment

Office: Car Barn 100 or Zoom

Class Hours: MTWR 1:10 PM - 3:05 PM

Class Room: Car Barn 309

1 Course Description

This course provides an introduction to macroeconomics. The main goals of the course are to equip with basic macroeconomic knowledge and to *foster macroeconomic literacy* so that students can understand and analyze the macroeconomy with critical thinking.

The first part of the course explores how GDP, inflation, unemployment, and other macroeconomic aggregates are measured in practice. The second part develops analytical models of macroeconomic performance in the short run and growth in the long run. The third part extends the analysis to international economies.

2 Required Materials

- Main textbook: [Karl E. Case, Ray C. Fair, Sharon E. Oster, *Principles of Macroeconomics*, 13th Edition, Pearson, 2020.](#)
- Supplementary textbook: [N. Gregory Mankiw, *Principles of Macroeconomics*, 10th Edition, Cengage, 2024.](#)

All course materials, including lecture slides and problem sets, will be available on Canvas.

3 Course Structure

Lecture

The format of lecture is traditional. I will post lecture slides on Canvas before each class. You are encouraged, but not required, to read slides and textbook before the lecture.

Each lecture will be divided into two 50-minute sessions, with a 15-minute break between them.

Problem Sets

There will be three problem sets in total throughout the semester. The problem sets will be graded based on completeness. You are encouraged to work together, but each student must submit his/her own answers. **Late submissions are NOT allowed.** Solutions to the assignments will be given, and we will go over the assignments together on the due date during the class.

Exams

There will be two *closed-book* exams in this class. The exams will be held during regular lecture time. The final exam is cumulative and some definitions/concepts we cover before the midterm may be used. The following are schedule for the exams:

- Midterm Exam: **July 23 (T), 2024**
- Final Exam: **August 8 (R), 2024**

Make-up exams will only be given in extremely rare circumstances, including medical emergencies and loss of immediate relatives. If these situations happen, the student should contact the instructor in a timely manner to discuss make-up options.

Grading Policy

Your final grade is a weighted average of your problem sets, exams, and class participation. The final grade will be determined based on the following algorithm:

$$\text{Final Grade} = 90\% \text{ of Exam Score} + 10\% \text{ of Assignments.}$$

- Exam Score will be determined by according to the following grading scheme.

$$\text{Exam Score 1} = 30\% \text{ of Midterm Exam} + 70\% \text{ of Final Exam.}$$

$$\text{Exam Score 2} = 100\% \text{ of Final Exam.}$$

$$\text{Exam Score} = \max \{ \text{Exam Score 1, Exam Score 2} \}.$$

Class participation takes a role as a tool to curve up one's grade, so it might be critical when the grade is on the threshold. Based on overall class performance and attendance, I may curve everyone's grade up at my discretion, and I will not curve the grade down in any circumstances.

4 Class Schedule

The schedule is tentative and subject to change. The course closely follows the main textbook.

Week 01, 07/08 - 07/11:

PART I: Introduction to Economics

- (1) Syllabus;
Chapter 1 & 3 Basic Concepts of Economics

PART II: Concepts and Problems in Macroeconomics

- (2) *Chapter 5* Introduction to Macroeconomics
- (3) *Chapter 6* Measuring National Output and National Income
- (4) *Chapter 7* Unemployment, Inflation, and Long-Run Growth
 - Assignment 1 will be posted on July 12 (F) and due date is on **July 15 (M)** right before the class.

Week 02, 07/15 - 07/18:

PART III: The Core of Macroeconomic Theory

- (5) Assignment 1 Solution;
Chapter 8 Aggregate Expenditure and Equilibrium Output
- (6) *Chapter 9* The Government and Fiscal Policy
- (7) *Chapter 10* Money, the Federal Reserve, and the Interest Rate
- (8) *Chapter 11* The Determination of Aggregate Output, the Price Level, and the Interest Rate
 - Assignment 2 will be posted on July 19 (F) and due date is on **July 22 (M)** right before the class.

Week 03, 07/22 - 07/25:

- (9) Assignment 2 Solution;
Review
- (10) **Midterm Exam**
- (11) Midterm Exam Solution;
Chapter 12 Policy Effects and Costs Shocks in the AS/AD Model
- (12) *Chapter 13* The Labor Market in the Macroeconomy

Week 04, 07/29 - 08/01:

(13) Movie day

PART IV: Further Macroeconomics Issues

(14) *Chapter 14* Financial Crises, Stabilization, and Deficits;
Chapter 15 Household and Firm Behavior in the Macroeconomy

(15) *Chapter 16* Long-Run Growth;
Chapter 17 Alternative Views in Macroeconomics

PART V: The World Economy

(16) *Chapter 18* International Trade, Comparative Advantage, and Protectionism

- Assignment 3 will be posted on August 2 (F) and due date is on **August 5 (M)** right before the class.

Week 05, 08/05 - 08/08:

(17) Assignment 3 Solution;
Chapter 19 Open-Economy Macroeconomics (The Balance of Payments and Exchange Rates)

(18) *Chapter 19* Open-Economy Macroeconomics (The Balance of Payments and Exchange Rates)

(19) *Chapter 20* Economic Growth in Developing Economies;
Review

(20) **Final Exam**

5 Course Policies

During Classes

I understand that the electronic recording of notes will be important for class and so computers and cell phones will be allowed in class. Please refrain from using computers for anything but activities related to the class. Eating and drinking are **NOT** allowed in class.

Attendance Policy

Students are strongly encouraged to attend every lecture to ensure a high learning quality.

Academic Integrity and Honesty

Students are required to comply with the university policy on academic integrity found in the **Honor Pledge**.

Accommodations for Disabilities

Students who believe they may be eligible for accommodation consideration are responsible for communicating their needs to the **Academic Resource Center**.